



IFRS Fundamentals

For Upstream Oil & Gas



IFRS Fundamentals For Upstream Oil & Gas

This three-day course is aimed at accounting professionals who are new to upstream oil and gas or new to IFRS. It will provide them with an understanding of how IFRS is being applied by the industry, specifically in the core areas of exploration, development and production. It considers the accounting practices that have developed in relation to both full cost capitalisation and successful efforts methods under national accounting practices such as US GAAP before considering the interpretation and application of relevant IFRS. It then considers the range of accounting policy options available and being used, particularly in relation to exploration activities and depreciation calculations.

In addition, with the current global uncertainties impacting upon oil and gas prices we consider the accounting consequences for impairment testing and booking of reserves.

This course is fully updated to take account of recent and forthcoming changes to IFRS, emerging accounting practices within the industry and briefly considers the new Sustainability Standards issued by the ISSB.

This course can be tailored to for in-house training to your specific requirements.



Dubai, UAE

London, UK

Kuala Lumpur, Malaysia

Rio de Janeiro, Brazil

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Day 1

Fundamentals

- Nature of oil and gas entities and commercial arrangements
- About the IFRS Foundation, the International Accounting Standards Board and the International Sustainability Standards Board
- IASB framework
- Composition of IFRS financial statements
- Overview of key Standards of relevance to oil and gas
- Accounting for hydrocarbon reserves

Financial statement presentation and disclosures

- IAS 1 revised – presentation of financial statements; formats adopted by the oil and gas sector compared
- IFRS 18 – mandatorily replacing IAS 1 in 2027 – presentation and disclosure in financial statements – overview comparing IFRS 18 to IAS 1
- IFRS 8 operating segments – what are reportable segments in oil and gas sector?
- Overview of narrative disclosures relating to hydrocarbon reserves

Case studies – Review of presentation and disclosures by IFRS E&P companies

Accounting for non-current assets under IFRS (IAS 16, IAS 38, IAS 23, IAS 36 and IFRS 16) – general principles

- Initial recognition and measurement of property, plant, equipment and intangible assets, including right of use assets held under leasing arrangements
- Capitalisation of borrowing costs
- Different treatments for acquired and internally developed intangible assets
- Whether to use historic cost or revaluation approaches for subsequent measurement
- The components approach
- Overview of impairment principles & comparison to US GAAP approach
- Treatments on disposal and discontinuance of assets

Case studies – Initial recognition of PP&E and intangible assets, accounting for leased assets

Day 2

From prospecting to evaluation

- Comparison of “traditional” full cost and successful efforts accounting methods
- Application of IFRS 6, (exploration for and evaluation of mineral resources) and its impact upon “traditional” full cost and successful efforts accounting methods
- Treatment of dry holes
- Impairment of capitalised exploration and evaluation expenditure
- Asset classification
- Review of the expected changes to IFRS 6

Case Studies – Explore the impact of accounting policy choices that are available during exploration and the impact that these have on reported results

Development spend

- Recognition, measurement and classification of development spend
- Treatment of abnormal expenditures
- Capitalisation of borrowing costs
- Application of the impairment standard

Case Studies – Determine and test cash generating units for impairment during development under IAS 36

Day 3

Provisions and decommissioning (IAS 37, IFRIC 1 & IFRIC 5)

- Definitions, measurement and when to provide
- Capitalisation of environmental damage and decommissioning obligations
- Disclosures and treatment of unutilised provisions
- Accounting for rehabilitation funds

Case Studies – The measurement and subsequent remeasurement of asset retirement obligations

Production

- Application of IAS 16 to production assets
- Units of depreciation method and their application
- What to reserves to use in the denominator?
- Components in upstream activities
- Impairment of fields and interdependent processes

Case Studies – Application of units of production methods of depreciation

Revenue recognition (IFRS 15)

- IFRS 15 5-step process for revenue recognition
- Revenue recognition and measurement issues for the oil and gas industry
- Treatment of royalty and production tax payments
- Determining share of production under production sharing arrangements
- Accounting for under and over lifts

Case Studies – Calculating revenue allocations and entitlement method for under and over lifts

Sustainability

- Overview of global sustainability targets
- The organisations who are involved in setting sustainability disclosures
- Role of the IFRS International Sustainability Standards Board
- Overview of issued Standards

Course review

- Recap of key standards
- Q&A

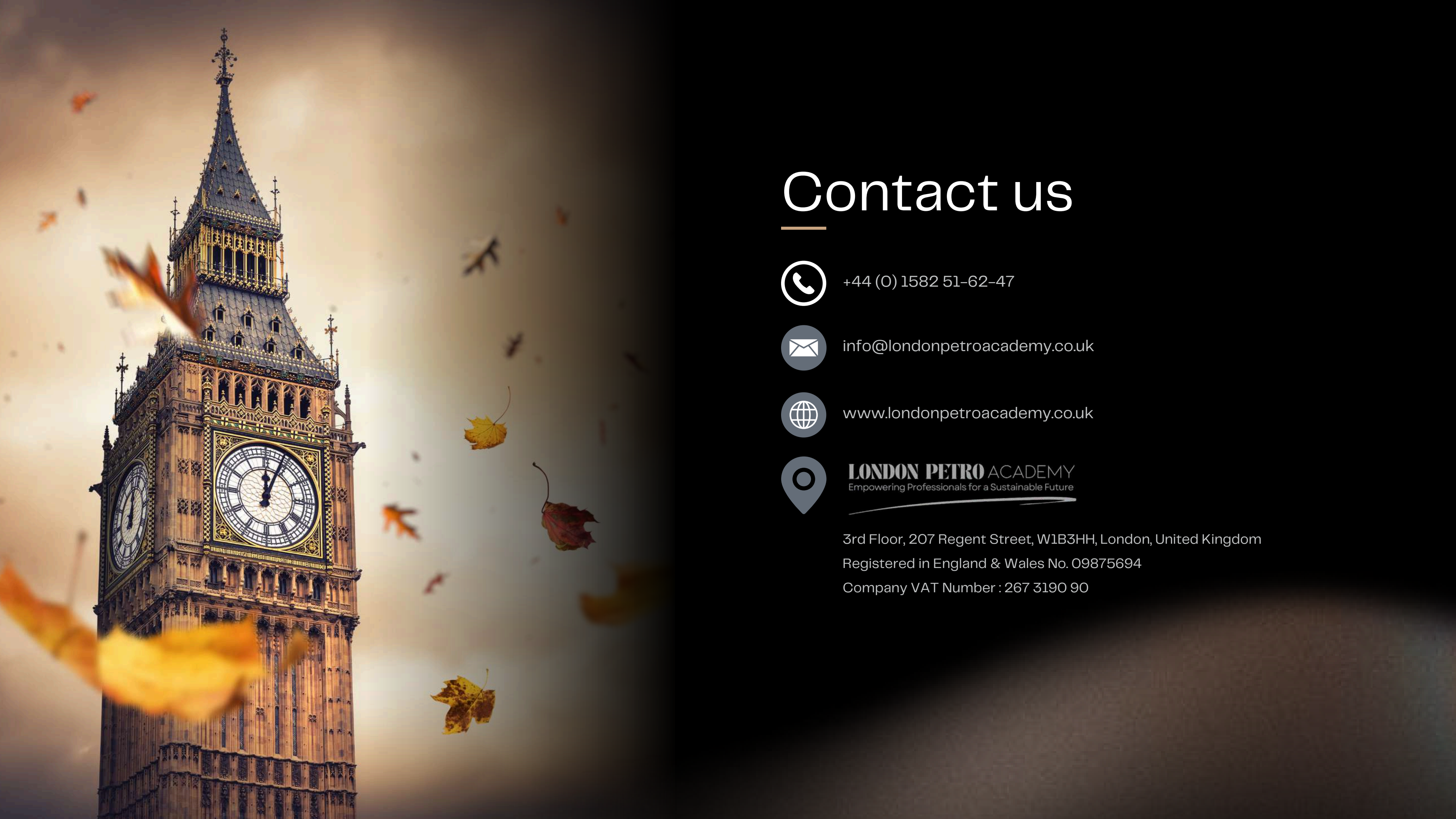
ACCOUNTING

LEDGER

ASSETS

REVENUE





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